A five-year leveraged buyout case study

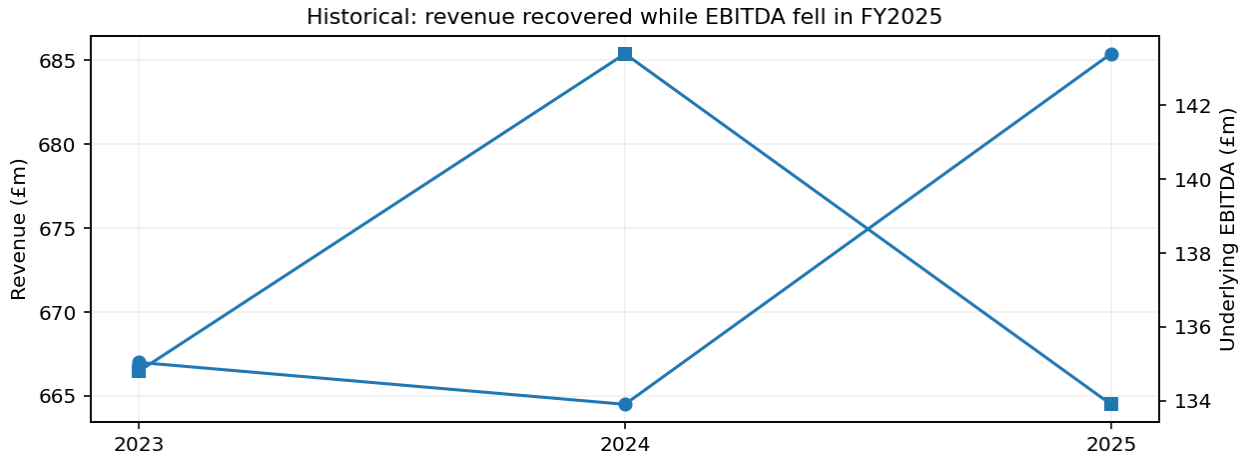
Domino's Pizza Group plc (LSE: DOM) | UK & Ireland

Would a 30% takeover premium work?

We model the acquisition economics, debt paydown, sponsor IRR and maximum affordable bid.

Franchises + supply chain

FY2025: £685.4m revenue / £133.9m underlying EBITDA / 1,399 UK & Ireland stores.



£1,445.9m enterprise value

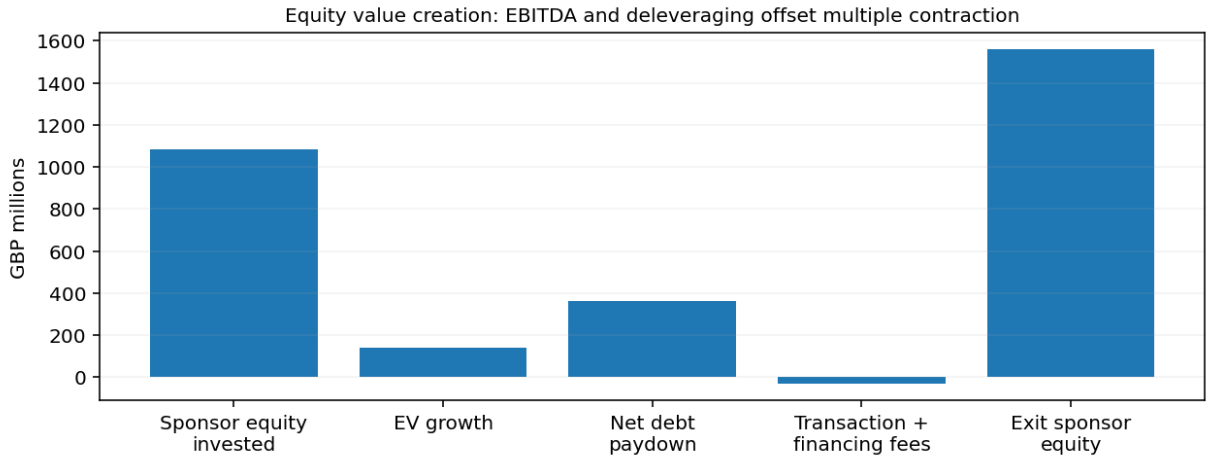
231p unaffected share close • 30% illustrative offer premium • £290.1m H1 net debt • 10.6x LTM EBITDA.

£408.6m new term debt

3.0x LTM EBITDA financing assumption • £1,083.5m sponsor equity • 7.5% illustrative interest.

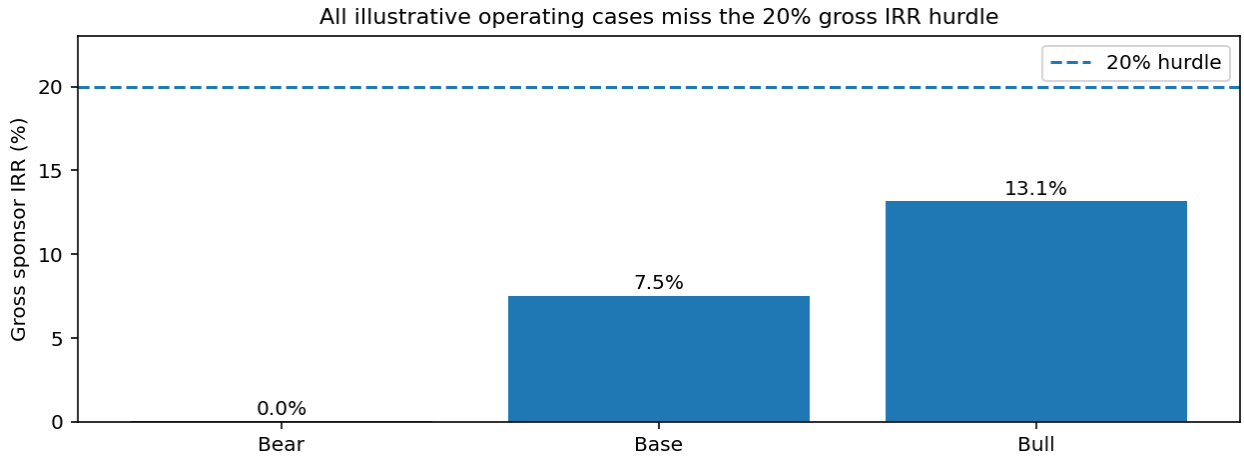
Five years of cash flows

FY2027–FY2031 • forecast EBITDA and capex • tax and working capital • mandatory amortisation + cash sweep.



7.5% gross sponsor IRR

1.44x gross MOIC • £176.5m 2031 EBITDA • 9.0x exit multiple • £30.8m exit net debt.



Even the bull case misses 20%

Bear IRR ~0.0% • Base 7.5% • Bull 13.1%. The entry premium is difficult to justify.

£707.1m equity value for 20% IRR

Equivalent to ~£1.84/share in the fixed base case: below the current market equity value.

DO NOT PROCEED AT THIS PRICE

Independent case study, not investment advice. Full model, memo and documentation available in the linked project repository.